

Impact of Health Expenditure (Per Capita, PPP and % of GDP) on Life Expectancy in the world (2000 – 2023)

Summary Report

The focus of this summary is on seeing if there is any correlation of life expectancy at birth to current health expenditure per capita, PPP (current international \$) and domestic general government health expenditure (% of GDP) of the countries in the world. The dataset I used for the analysis were from the World Bank for the years 2000 to 2023.

Insights

Life Expectancy at birth – indicates the number of years a newborn infant would live if prevailing patterns of mortality at the time of its birth were to stay the same throughout its life. The average life expectancy of the world has rose from 45 years to 85 years in the 23 years from 2000 to 2023.

Current health expenditure per capita, PPP (current international \$) – represents the average amount spent per person on healthcare annually, adjusted to eliminate differences in price levels between countries. It includes all public, private, and external spending on medical services, goods, and preventive care, offering a standardized metric to compare health investments.

Domestic general government health expenditure (% of GDP) – measures the percentage of a country's total economic output (GDP) spent on health by public entities. It indicates the priority governments place on health within their budgets and helps monitor progress toward universal health coverage.

Conclusion

% of GDP shows priority while Per Capita (PPP) shows buying power. Higher health spending generally links to longer lives across different economies in the world. Wealthier nations spend more money for which after a certain point is reached brings about small improvements in life expectancy and other factors come into play like income, education, and health system quality. Spending correlates with longer lives but does not strictly cause them.